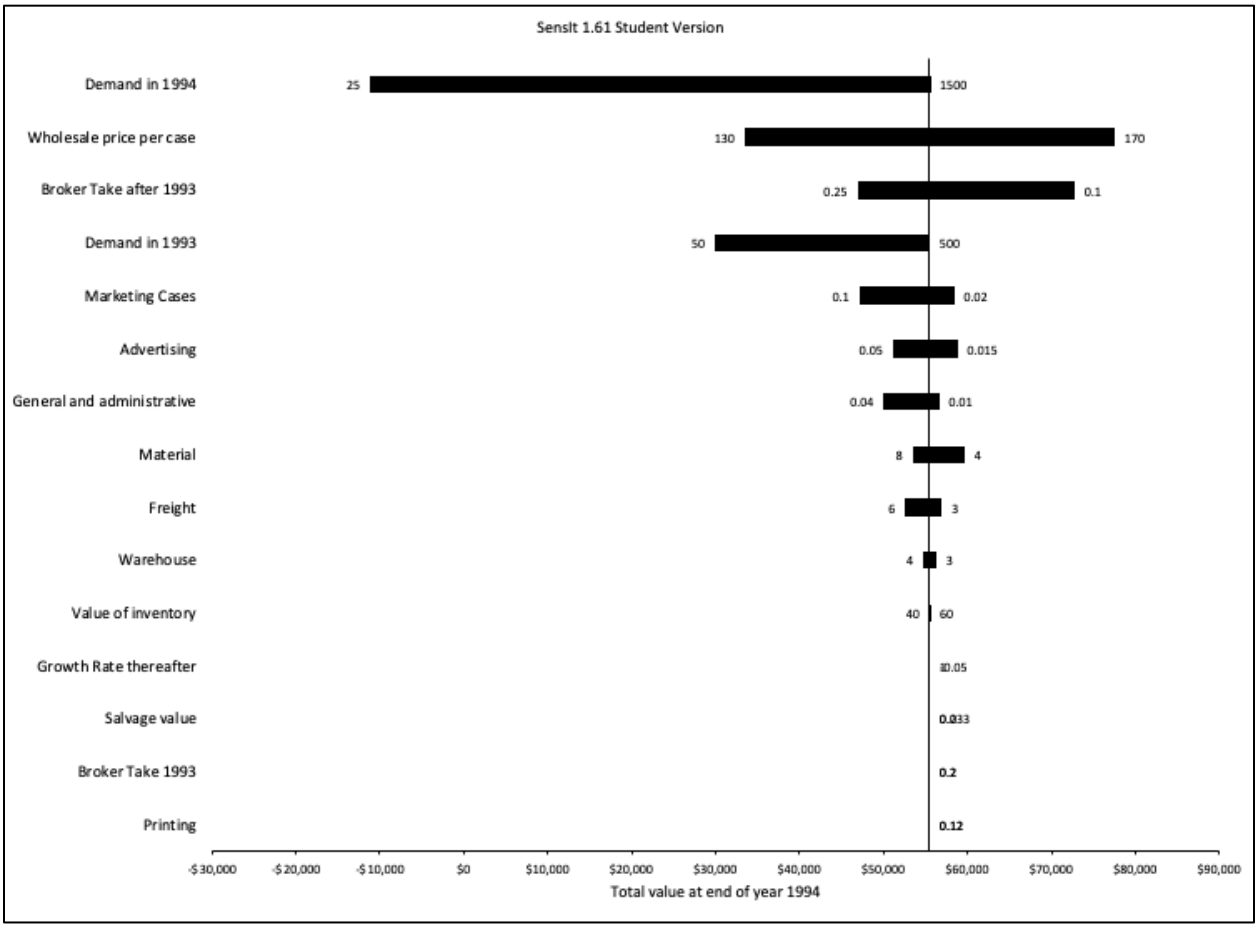
Recommendation

The tornado analysis indicates that the most significant driver of total cash flow through 1994 is demand in 1994, which produces by far the largest swing in profitability. This suggests that the success of the venture is primarily dependent on whether the market materializes as expected in the second year. Demand in 1993 is also an important factor, as early sales performance directly affects continuation decisions and short-term viability. Wholesale price per case and broker take after 1993 represent the next most impactful uncertainties, indicating that pricing power and distribution economics materially influence financial outcomes.

In contrast, operational variables such as bottling losses, setup costs, freight, and other material expenses have relatively minor effects on total cash flow and do not meaningfully alter the risk profile of the venture. Therefore, in Part B, the analysis should focus primarily on modeling demand uncertainty, pricing variability, and broker margins, as these market-driven factors dominate the risk and return of the Calambra venture.